

# **General Knowledge**

## **Indian Economy**

### **STUDY NOTES**

#### **Economics Reforms in India**



## Economic Reforms in India

### Introduction

- Economic reforms in India refer to the series of policy changes and adjustments initiated in **1991** under the leadership of **Prime Minister P.V. Narasimha Rao** and **Finance Minister Dr. Manmohan Singh**.
- These reforms marked a significant shift from a closed, state-controlled economy to a more open and market-driven one.
- The reforms were a response to the severe economic crisis India was facing at that time, characterized by a balance of payments crisis, high fiscal deficits, and an unsustainable external debt burden.
- The reforms were aimed at liberalizing the **economy**, **promoting privatization**, and **globalizing trade** and **investment**. This book explores the core aspects of India's economic reforms, including **liberalization**, **privatization**, **globalization**, and their various impacts on the Indian economy.



## Background to the Economic Reforms

In 1991, India faced a serious economic crisis. Foreign exchange reserves had dwindled to a critical level, threatening the country's ability to pay for essential imports. The government's fiscal policies were unsustainable, and external debt was ballooning. In the face of this crisis, the Indian government sought assistance from international financial institutions like the International Monetary Fund (IMF), which prescribed a series of neoliberal economic reforms.

These reforms aimed to address the structural weaknesses in the economy and pave the way for India to integrate with the global economy. The reforms also sought to correct the inefficiencies caused by excessive government control and state-led industrialization.



## Liberalization of the Indian Economy

Liberalization refers to the relaxation of government controls over the economy, enabling greater freedom for market forces to operate. The government aimed to reduce regulatory burdens, particularly in sectors such as industry and trade, to allow businesses to function more efficiently. The liberalization process involved several key policy changes:

- **Abolition of Industrial Licensing:** The government removed the requirement for industrial licenses for most industries, except for a few sectors related to security and strategic importance.



- **Opening of Economic Borders:** India began to open its economy to foreign investments by relaxing restrictions on Foreign Direct Investment (FDI). This move allowed multinational corporations (MNCs) to enter the Indian market.
- **Expansion of Production Capacity:** Liberalization encouraged the expansion of production capacities in various industries by reducing bureaucratic hurdles.

### Key Reforms Under Liberalization

- **Trade Policy Reforms:** Tariffs were reduced, and trade restrictions were relaxed, promoting foreign trade.
- **De-reservation of Sectors:** Several sectors that were earlier reserved exclusively for the public sector were now opened to the private sector.
- **Import Liberalization:** The restrictions on imports were reduced, allowing a broader range of goods and services to be available in the market.

### Privatization in India

Privatization refers to the process of transferring ownership of state-owned enterprises (SOEs) to the private sector. The government of India, which had traditionally maintained a significant presence in the industrial and service sectors, aimed to reduce its role in business activities and encourage the private sector to take over these functions.

### Key Aspects of Privatization

- **Disinvestment:** The government began selling its stakes in public sector enterprises (PSEs), either through initial public offerings (IPOs) or direct sales.
- **Encouragement of Foreign Direct Investment (FDI):** India introduced policies that encouraged foreign investors to participate in the privatization process, leading to increased foreign capital inflows.
- **Competition and Efficiency:** The privatization process was expected to increase competition in various sectors and improve efficiency by introducing market-driven management practices.

### Globalization and India's Economic Integration

Globalization refers to the process of increasing integration of the Indian economy with the global economy. Through economic reforms, India aimed to increase trade, attract foreign

capital, and participate in the global supply chain. This included reducing tariffs, relaxing restrictions on foreign trade, and allowing greater capital mobility.

### India's Globalization Strategy

- **Export Promotion:** India promoted exports in sectors like information technology, engineering goods, textiles, and automotive components.
- **Foreign Direct Investment (FDI):** Policies were introduced to attract FDI, contributing to technological transfers, managerial expertise, and employment opportunities.
- **Integration with Global Markets:** India sought to integrate its economy with the global market through free trade agreements and by reducing trade barriers.

### Impact of Economic Reforms on Key Sectors

| Sector              | Impact of Economic Reforms                                                                                                                                                                                                             | Challenges/Negative Outcomes                                                                                                                                                                                                                                                                                            |
|---------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Agricultural Sector | <ul style="list-style-type: none"> <li>- Investment in agriculture and rural infrastructure reduced.</li> <li>- Subsidies on fertilizers and inputs were removed.</li> <li>- Increased competition in agricultural markets.</li> </ul> | <ul style="list-style-type: none"> <li>- Stagnation in agricultural growth.</li> <li>- Increased production costs, particularly for small and marginal farmers.</li> <li>- Reduced public investment in agriculture.</li> <li>- Vulnerability of farmers to market volatility and international competition.</li> </ul> |
| Industrial Sector   | <ul style="list-style-type: none"> <li>- Some industries, particularly in manufacturing and technology, grew rapidly.</li> <li>- Lower import duties allowed cheaper foreign goods to compete with domestic products.</li> </ul>       | <ul style="list-style-type: none"> <li>- Uneven growth in the industrial sector.</li> <li>- Local industries faced pressure due to foreign competition.</li> <li>- Regional disparities in industrial development.</li> <li>- Decline of small and medium-sized enterprises (SMEs) in some sectors.</li> </ul>          |
| Service Sector      | <ul style="list-style-type: none"> <li>- Information technology (IT) and software services experienced tremendous growth.</li> <li>- India became a global hub for IT outsourcing.</li> </ul>                                          | <ul style="list-style-type: none"> <li>- Job creation in IT was disproportionate, leaving out other sectors.</li> <li>- Over-reliance on certain sectors like IT could pose long-term risks.</li> <li>- Infrastructure challenges to support</li> </ul>                                                                 |

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|  | - Significant contribution to GDP and employment. | rapid service sector growth. |
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## Objectives of the New Economic Policy (NEP)

- **To reduce inflation rates:** By introducing a more open economy and encouraging competition, the government sought to bring down the high inflation levels that had plagued the country.
- **To accumulate foreign currency reserves:** By liberalizing trade and attracting FDI, India aimed to build up its foreign exchange reserves.
- **To promote economic growth:** The overarching goal was to achieve higher economic growth through market-driven policies.
- **To encourage private sector participation:** The reforms encouraged the private sector to take on a larger role in the economy, reducing the dominance of public sector enterprises.
- **To facilitate globalization:** The NEP aimed to integrate India's economy with global markets, promoting the free movement of goods, services, capital, and technology.

## Economic Reforms in India Post-1991

| Category                  | Reforms/Acts/Policies                                                                                                                                                                                         | Features                                                                                                                                                                                                                                                                                                  |
|---------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Industrial Reforms</b> | <ul style="list-style-type: none"> <li>- <b>Abolition of Industrial Licensing (1991)</b></li> <li>- <b>MRTTP Act Amendment (1991)</b></li> <li>- <b>De-reservation of Public Sector Industries</b></li> </ul> | <ul style="list-style-type: none"> <li>- <b>Encouraged private participation</b> in industries.</li> <li>- Simplified <b>regulatory framework</b>.</li> <li>- Boosted <b>competition and entrepreneurship</b>.</li> <li>- Reduced <b>state monopoly</b> over industries like coal and banking.</li> </ul> |

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| <b>Trade Policy Reforms</b>  | <ul style="list-style-type: none"> <li>- Reduction in Tariffs and Customs Duties (1991)</li> <li>- Export-Import Policy Amendments (EXIM)</li> <li>- Establishment of <b>Special Economic Zones (SEZs)</b></li> </ul>            | <ul style="list-style-type: none"> <li>- Promoted <b>foreign trade integration</b>.</li> <li>- Encouraged <b>export-driven growth</b>.</li> <li>- Allowed import of advanced technologies.</li> <li>- Reduced <b>Current Account Deficit (CAD)</b>.</li> </ul>                                                                                      |
| <b>Tax Reforms</b>           | <ul style="list-style-type: none"> <li>- <b>Goods and Services Tax (GST), 2017</b></li> <li>- <b>Direct Tax Code Implementation</b></li> <li>- Digitization of tax filing (<b>E-Filing</b>).</li> </ul>                          | <ul style="list-style-type: none"> <li>- Simplified <b>tax structure</b> by replacing multiple indirect taxes.</li> <li>- Enhanced <b>revenue collection</b> through better compliance.</li> <li>- Promoted <b>investment</b> by reducing tax burden on corporates.</li> <li>- Improved ease of filing through <b>digital platforms</b>.</li> </ul> |
| <b>Financial Reforms</b>     | <ul style="list-style-type: none"> <li>- <b>Narasimham Committee Recommendations</b></li> <li>- <b>Reduction in SLR and CRR</b></li> <li>- <b>Basel Norms Implementation</b></li> <li>- <b>Privatization of Banks</b></li> </ul> | <ul style="list-style-type: none"> <li>- Strengthened <b>financial institutions</b> through better regulation.</li> <li>- Enhanced <b>liquidity</b> in banking systems.</li> <li>- Improved <b>capital adequacy</b> of banks.</li> <li>- Promoted privatization and competition in banking.</li> </ul>                                              |
| <b>Privatization Reforms</b> | <ul style="list-style-type: none"> <li>- <b>Disinvestment Policy</b></li> <li>- Formation of <b>Department of Disinvestment (1999)</b></li> <li>- Privatization of PSUs like BALCO, VSNL</li> </ul>                              | <ul style="list-style-type: none"> <li>- Promoted <b>efficiency</b> through private participation.</li> <li>- Reduced <b>fiscal burden</b>.</li> <li>- Generated <b>revenue</b> for government use.</li> </ul>                                                                                                                                      |

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|                                   |                                                                                                                                                                                                                | <ul style="list-style-type: none"> <li>- Encouraged <b>private investments</b> in critical sectors like telecom and manufacturing.</li> </ul>                                                                                                                                                               |
| <b>Foreign Investment Reforms</b> | <ul style="list-style-type: none"> <li>- <b>Automatic Route for FDI</b></li> <li>- <b>100% FDI in E-commerce and Defence</b></li> <li>- Establishment of <b>SEBI (1992)</b></li> </ul>                         | <ul style="list-style-type: none"> <li>- Increased <b>FDI inflows</b>.</li> <li>- Strengthened <b>capital markets</b>.</li> <li>- Allowed <b>global firms</b> to set up operations in India, improving <b>employment opportunities</b>.</li> <li>- Enhanced <b>investment in infrastructure</b>.</li> </ul> |
| <b>Agricultural Reforms</b>       | <ul style="list-style-type: none"> <li>- <b>Amendments to APMC Acts</b></li> <li>- <b>Kisan Credit Card Scheme</b></li> <li>- Launch of <b>PM-KISAN</b></li> <li>- Establishment of <b>e-NAM</b></li> </ul>    | <ul style="list-style-type: none"> <li>- Improved <b>market access</b> for farmers.</li> <li>- Reduced dependency on intermediaries.</li> <li>- Promoted <b>technology adoption</b>.</li> <li>- Focused on <b>income support</b> through direct benefit transfers.</li> </ul>                               |
| <b>Telecom Reforms</b>            | <ul style="list-style-type: none"> <li>- <b>New Telecom Policy, 1999</b></li> <li>- Establishment of <b>TRAI (Telecom Regulatory Authority of India)</b></li> <li>- <b>Digital India Initiative</b></li> </ul> | <ul style="list-style-type: none"> <li>- Opened the sector for <b>private participation</b>.</li> <li>- Led to <b>growth in internet penetration</b>.</li> <li>- Improved quality of services.</li> <li>- Promoted <b>digitization</b> across sectors.</li> </ul>                                           |
| <b>Labor Reforms</b>              | <ul style="list-style-type: none"> <li>- <b>Labor Code on Wages, 2019</b></li> <li>- <b>Labor Code on Social Security, 2020</b></li> <li>- <b>Code on Industrial Relations, 2020</b></li> </ul>                | <ul style="list-style-type: none"> <li>- Simplified <b>compliance</b> for businesses.</li> <li>- Improved <b>social security</b> measures for workers.</li> <li>- Promoted <b>formalization</b> of unorganized sectors.</li> </ul>                                                                          |



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|                               |                                                                                                                                                                                                | <ul style="list-style-type: none"> <li>- Enhanced <b>ease of doing business</b> for employers.</li> </ul>                                                                                                                                                                                                                 |
| <b>Energy Reforms</b>         | <ul style="list-style-type: none"> <li>- Electricity Act, 2003</li> <li>- UDAY Scheme (Ujwal DISCOM Assurance Yojana)</li> <li>- National Solar Mission</li> </ul>                             | <ul style="list-style-type: none"> <li>- Enhanced <b>renewable energy focus</b>.</li> <li>- Improved financial health of DISCOMs.</li> <li>- Boosted private participation in energy generation.</li> <li>- Promoted <b>energy efficiency</b> through regulatory frameworks.</li> </ul>                                   |
| <b>Infrastructure Reforms</b> | <ul style="list-style-type: none"> <li>- National Highways Development Project (NHDP)</li> <li>- Smart Cities Mission</li> <li>- Bharatmala Project</li> <li>- AMRUT Mission (2015)</li> </ul> | <ul style="list-style-type: none"> <li>- Improved <b>connectivity</b> and urban infrastructure.</li> <li>- Promoted <b>PPP (Public-Private Partnerships)</b>.</li> <li>- Encouraged <b>investment in logistics and ports</b>.</li> <li>- Enhanced <b>urbanization through sustainable planning</b>.</li> </ul>            |
| <b>Social Sector Reforms</b>  | <ul style="list-style-type: none"> <li>- Right to Education Act, 2009</li> <li>- Ayushman Bharat (2018)</li> <li>- MNREGA (Mahatma Gandhi National Rural Employment Guarantee Act)</li> </ul>  | <ul style="list-style-type: none"> <li>- Improved access to <b>education</b> for all children.</li> <li>- Strengthened healthcare delivery systems.</li> <li>- Generated <b>employment in rural areas</b>.</li> <li>- Enhanced transparency in welfare programs through <b>Direct Benefit Transfers (DBT)</b>.</li> </ul> |

## Digital Reforms in the Indian Economy

| Category                      | Reforms/Policies/Initiatives                                                                                                                                                     | Features                                                                                                                                                                                                                                                                                                 |
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| <b>Digital Payments</b>       | <ul style="list-style-type: none"> <li>- Unified Payments Interface (UPI), 2016</li> <li>- BHIM App</li> <li>- Rupay Cards</li> </ul>                                            | <ul style="list-style-type: none"> <li>- Enabled <b>real-time payment transfer</b>.</li> <li>- Simplified <b>merchant and peer-to-peer transactions</b>.</li> <li>- Promoted <b>financial inclusion</b> through low-cost solutions.</li> <li>- Reduced dependency on cash transactions.</li> </ul>       |
| <b>E-Commerce</b>             | <ul style="list-style-type: none"> <li>- Digital India Programme (2015)</li> <li>- FDI in E-Commerce (100%)</li> <li>- ONDC (Open Network for Digital Commerce), 2022</li> </ul> | <ul style="list-style-type: none"> <li>- Allowed <b>global players</b> like Amazon and Flipkart to invest.</li> <li>- Promoted <b>domestic platforms</b>.</li> <li>- Enhanced consumer access to <b>digital marketplaces</b>.</li> <li>- Encouraged innovation in supply chain and logistics.</li> </ul> |
| <b>Digital Governance</b>     | <ul style="list-style-type: none"> <li>- Aadhaar-Based Direct Benefit Transfer (DBT)</li> <li>- e-Kranti</li> </ul>                                                              | <ul style="list-style-type: none"> <li>- Enabled <b>targeted delivery of subsidies</b> and welfare benefits.</li> <li>- Reduced <b>leakages</b> through direct transfers.</li> <li>- Promoted transparency in governance processes.</li> <li>- Reduced dependency on intermediaries.</li> </ul>          |
| <b>Digital Infrastructure</b> | <ul style="list-style-type: none"> <li>- BharatNet (2011)</li> <li>- National Optical Fibre Network (NOFN)</li> </ul>                                                            | <ul style="list-style-type: none"> <li>- Extended <b>high-speed broadband</b> to rural areas.</li> <li>- Enabled <b>digital inclusion</b> in underserved regions.</li> </ul>                                                                                                                             |

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|                                   |                                                                                                                                                | <ul style="list-style-type: none"> <li>- Created a robust <b>infrastructure backbone</b> for e-governance and services.</li> </ul>                                                                                                                                      |
| <b>Digital Identification</b>     | <ul style="list-style-type: none"> <li>- Aadhaar Card (2010)</li> <li>- eSign and Digital Locker Services</li> </ul>                           | <ul style="list-style-type: none"> <li>- Simplified identity verification for various services.</li> <li>- Promoted <b>paperless governance</b> through e-KYC.</li> <li>- Enhanced accessibility to financial, telecom, and government services.</li> </ul>             |
| <b>Digital Financial Services</b> | <ul style="list-style-type: none"> <li>- Jan Dhan Yojana (2014)</li> <li>- India Stack APIs</li> <li>- Account Aggregator Framework</li> </ul> | <ul style="list-style-type: none"> <li>- Boosted <b>financial inclusion</b> by linking Aadhaar with bank accounts.</li> <li>- Encouraged fintech innovation.</li> <li>- Improved <b>access to credit</b> and insurance services for underserved populations.</li> </ul> |
| <b>Tax and Compliance</b>         | <ul style="list-style-type: none"> <li>- GST Network (GSTN), 2017</li> <li>- E-invoicing and Digital Filing</li> </ul>                         | <ul style="list-style-type: none"> <li>- Simplified tax compliance through <b>online portals</b>.</li> <li>- Improved <b>tax collection and reporting</b>.</li> <li>- Reduced the scope of <b>tax evasion</b> with a unified system.</li> </ul>                         |
| <b>Digital Agriculture</b>        | <ul style="list-style-type: none"> <li>- eNAM (Electronic National Agriculture Market)</li> </ul>                                              | <ul style="list-style-type: none"> <li>- Created a <b>national digital marketplace</b> for agricultural produce.</li> <li>- Improved farmer access to <b>buyers across India</b>.</li> <li>- Reduced dependency on intermediaries.</li> </ul>                           |

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| <b>Digital Health</b>                    | <ul style="list-style-type: none"> <li>- <b>Ayushman Bharat Digital Mission (ABDM)</b></li> </ul>                                                   | <ul style="list-style-type: none"> <li>- Established <b>digital health IDs</b> for citizens.</li> <li>- Linked healthcare records for seamless access.</li> <li>- Promoted telemedicine and e-health services.</li> </ul>                                            |
| <b>Cybersecurity</b>                     | <ul style="list-style-type: none"> <li>- <b>National Cyber Security Policy, 2013</b></li> </ul>                                                     | <ul style="list-style-type: none"> <li>- Strengthened <b>data protection</b> mechanisms.</li> <li>- Created awareness about <b>cyber threats</b>.</li> <li>- Promoted <b>cyber resilience</b> across sectors.</li> </ul>                                             |
| <b>Digital Education</b>                 | <ul style="list-style-type: none"> <li>- <b>SWAYAM (Study Webs of Active Learning for Young Aspiring Minds)</b></li> <li>- <b>DIKSHA</b></li> </ul> | <ul style="list-style-type: none"> <li>- Enabled access to <b>quality education through digital platforms</b>.</li> <li>- Focused on <b>teacher training and resources</b>.</li> <li>- Reduced barriers to education for remote areas through e-learning.</li> </ul> |
| <b>Smart Cities and Urban Governance</b> | <ul style="list-style-type: none"> <li>- <b>Smart Cities Mission</b></li> <li>- <b>Integrated Command and Control Centres (ICCCs)</b></li> </ul>    | <ul style="list-style-type: none"> <li>- Promoted <b>technology-driven urban development</b>.</li> <li>- Enhanced <b>public service delivery</b> through digital integration.</li> <li>- Focused on sustainable and efficient resource management.</li> </ul>        |
| <b>Digital Banking</b>                   | <ul style="list-style-type: none"> <li>- <b>Neo-Banking Platforms</b></li> <li>- <b>Mobile Banking and Internet Banking</b></li> </ul>              | <ul style="list-style-type: none"> <li>- Enabled <b>seamless banking operations</b>.</li> <li>- Enhanced accessibility through <b>app-based banking solutions</b>.</li> <li>- Encouraged adoption of digital transactions.</li> </ul>                                |



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| <b>Digital Inclusion</b>    | <ul style="list-style-type: none"> <li>- <b>Common Service Centres (CSCs)</b></li> </ul>                                                                            | <ul style="list-style-type: none"> <li>- Established a network of <b>digital kiosks</b> in rural areas.</li> <li>- Provided access to e-governance services, digital literacy, and financial inclusion initiatives.</li> </ul>                                                     |
| <b>Start-Up Ecosystem</b>   | <ul style="list-style-type: none"> <li>- <b>Start-Up India Initiative (2016)</b></li> <li>- <b>Digital Platforms like GeM (Government e-Marketplace)</b></li> </ul> | <ul style="list-style-type: none"> <li>- Simplified the process of <b>start-up registration</b>.</li> <li>- Provided access to <b>funding and mentoring</b>.</li> <li>- Encouraged digital innovation in various industries.</li> </ul>                                            |
| <b>Telecom and Internet</b> | <ul style="list-style-type: none"> <li>- <b>National Digital Communications Policy (NDCP), 2018</b></li> <li>- <b>5G Rollout, 2023</b></li> </ul>                   | <ul style="list-style-type: none"> <li>- Expanded <b>internet connectivity</b> to remote regions.</li> <li>- Promoted the adoption of <b>new-age technologies like 5G</b>.</li> <li>- Boosted the <b>digital economy</b> by enhancing internet speed and affordability.</li> </ul> |